SNOC – Aviation Finance

Aircraft Financing Proposal

$1.6B Secured Funding Strategy for [Confidential Borrower]

Kenneth Vallespin

Asian Institute of Management

GLOBAL NETWORK FOR ADVANCED MANAGEMENT

AGENDA

Contents

EXECUTIVE SUMMARY

Investment Highlights

FINANCING REQUIRED	AIRCRAFT OWNED	AIRLINE CUSTOMERS	DEBT-TO-EQUITY RATIO
$1.6B	384	150	2.4×

Our Recommendation

We propose a **$1.2B senior unsecured bond** as the primary funding vehicle, complemented by a **$0.4B Asset-Backed Securitization (ABS)** tranche. The 75% / 25% unsecured / secured mix preserves a strong unencumbered asset base, consistent with investment-grade peers Avolon (77% unsecured) and Aircastle (98% unsecured), while the ABS tranche captures meaningful pricing benefits from the borrower's large, diversified, and young aircraft portfolio.

Balance Sheet Flexibility	IG Peer Alignment	ABS Pricing Capture
75% unsecured mix preserves unencumbered asset base and future financing optionality	Capital structure aligns with investment-grade peers	$0.4B ABS tranche captures pricing benefit from young, diversified fleet without overcollateralizing

BORROWER PROFILE

Upper-Tier Irish Lessor

Portfolio
384 aircraft owned, 225 on order

Customers
150 airlines across 62 countries

Fleet Focus
Latest-technology aircraft (NEO, MAX, 787, A350)

Leverage
D/E ratio of 2.4x — conservative for the sector

Track Record
Substantial history in the leasing industry

Funding Need
$1.6 billion for new aircraft deliveries

CREDIT STRENGTHS

- Upper Tier Scale (among top 10 global lessors)
- Exceptional geographic & lessee diversification
- Young fleet — weighted avg. age ~6.7 years
- Strong order book (225 aircraft) for future growth
- Conservative D/E of 2.4x with capacity for leverage
- Ireland/73 tax treaties, lessor profitability model, and constant-age depreciation curve references

MARKET CONTEXT (1/2)

Global Aviation Leasing Market

~50%	of global fleet is leased
$170B+	annual new aircraft delivery value
$300B+	total leasing market assets

Borrower's Position

The borrower ranks among the upper tier of global lessors, comparable to peers such as Air Lease, SMBC Aviation Capital, Avolon, and Aircastle[1]. This scale provides significant advantages in capital markets access, airline relationships, and fleet management expertise.

DEMAND DRIVERS

- Post-COVID traffic recovery exceeding 2019 levels in most markets
- Fleet modernization mandates driven by fuel efficiency and ESG pressures
- OEM delivery backlogs creating sustained demand for lessor-owned aircraft
- Rising interest rates increasing the appeal of lessor balance-sheet financing for airlines
- New-build value escalation, MLR recovery, LRF of ~0.65-0.75%

Notes: 1. Standalone figures before SMBC Aviation / Aircastle acquisition

MARKET CONTEXT (2/2)

Benchmarking with Global Upper-Tier Aircraft Lessors

Lessor	Fleet owned/mgd	Total debt	Net D/E	% Unsecured	Moody's	S&P	Fitch
AerCap	1,649	~$46B	2.10x	~77%	Baa1 Stable	BBB+ Stable	BBB+ Stable
Air Lease	535	~$20B	2.47x	97.4%	Baa2 Stable	BBB Stable	BBB Stable
SMBC Aviation[1]	761	~$17B	~2.8x	100%	N/A	A- Stable	A- Stable
Avolon	664	~$22B	2.40x	77%	Baa2 Stable	BBB- Positive	BBB Stable
Borrower	**384**	**N/A**	**2.40x**	**TBD**	**N/A**	**N/A**	**N/A**
Aircastle[1]	282	~$5.3B	2.20x	~98%	Baa2 Positive	BBB Stable	BBB+ Stable

Borrower's Position

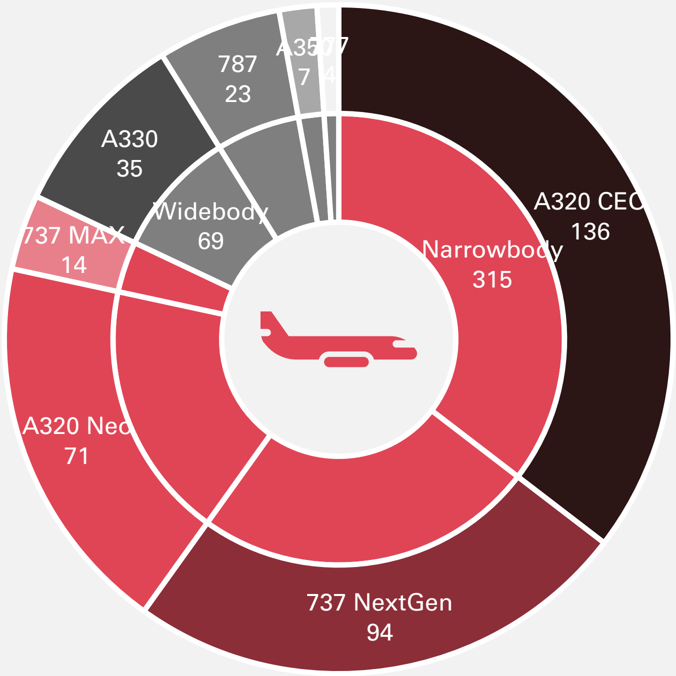
With fleet size and leverage in line with Avolon and Aircastle[1], both of which carry IG ratings and are funded by 77–98% unsecured debt, the Borrower has a **credible path** to a comparable unsecured funding profile, targeting **80%+ unsecured as ratings are established**

Notes: 1. Standalone figures before SMBC Aviation / Aircastle acquisition

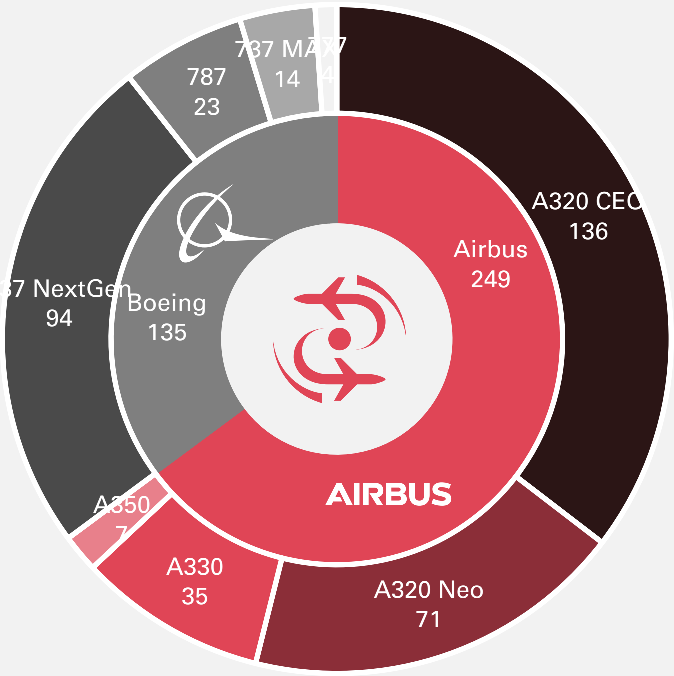
COLLATERAL ANALYSIS (1/3)

Aircraft Portfolio for Transaction

Portfolio Split



Split by Body Type



Split by OEM / Manufacturer

Portfolio Summary

Type	Count	Avg Age
A320 CEO	136	9.5 yrs
A320 Neo	71	2.6 yrs
737 MAX	14	2.5 yrs
737 NextGen	94	7.6 yrs
A330	35	5.4 yrs
A350	7	2.7 yrs
777	4	9.8 yrs
787	23	4.5 yrs
Total	**384**	**~6.7 yrs**

82% Narrowbody Fleet

22% NEO/MAX New Tech

COLLATERAL ANALYSIS (2/3)

Diversification & Collateral Quality

No single-country concentration exceeds 10% of portfolio value

62 COUNTRIES ACROSS 6 CONTINENTS

Top-10 lessee exposure capped; broad mix of flag carriers, LCCs, and charter operators

150 AIRLINE CUSTOMERS

Balanced Airbus/Boeing mix with emphasis on latest-technology narrowbodies

8 AIRCRAFT TYPES ACROSS 2 OEMS

Our Structuring View

The borrower's portfolio demonstrates strong diversification across all three dimensions, with exposure spread across 62 countries, 150 lessees, and 8 aircraft types. This profile supports favorable structuring terms and positions the collateral pool well for competitive ABS pricing.

COLLATERAL ANALYSIS (3/3)

Aircraft Values & LTV Analysis

Indicative Portfolio Valuation

Type	Count	Avg Age	CMV/Unit ($M), Interpolated*	Total CMV ($M)
A320 CEO	136	9.5	25.22	3,430
A320 Neo	71	2.6	48.46	3,441
737 MAX	14	2.5	48.80	683
737 NextGen	94	7.6	25.65	2,411
A350	7	2.7	137.11	960
A330	35	5.4	45.04	1,576
777	4	9.8	57.35	229
787	23	4.5	107.50	2,473
TOTAL	**384**	**6.7**		**15,203**

Loan-to-Value Analysis

Total Portfolio CMV	**~$15.2B**
ABS Raise	**$0.4B**
ABS LTV (on full portfolio)	**~2.6%**
Annual Lease Revenue	**~$1,467M**

Substantial overcollateralization provides strong credit protection. On a right-sized ABS pool of ~33 aircraft (~$1.5B CMV) supporting the $0.4B tranche, Class A LTV remains well below 30% with ample headroom. Residual value depreciation curves (per AVITAS) confirm strong value retention for new-technology types.

FUNDING OPTIONS (1/3)

Assessment of Available Structures

Criteria	Unsecured Bond	ABS	Secured Bank Loan	Secured Bond
Cost of Funds	Higher	Low	Medium	Medium-Low
Capacity ($1.6B)	Moderate	Strong	Limited	Moderate
Financial Flexibility	Highest	Low-Medium	Low	Low
Operational Flexibility	Highest	Low	Medium	Medium
Credit Enhancement	None	+6-9 notches	+2 notches	+2 notches
Investor Base	Broad	Deepest (IG)	Banks only	Moderate
Execution Speed	Moderate	Slower	Fast	Moderate
Structural Complexity	Low	High	Low	Medium

Recommendation

1. **Unsecured bonds - $1.2B:** Leverage the Borrower's IG (or near IG) profile to access competitive pricing without pledging collateral, preserving unencumbered asset capacity for future financing flexibility and portfolio growth.

2. **ABS - $0.4B:** The borrower's upper-tier status and diversified portfolio are well-suited to ABS execution, which helps capture the pricing benefit from credit enhancement.

FUNDING OPTIONS (2/3)

Tactical ABS Add-ons Capture Pricing Benefits

Aircraft Asset-Backed Securitization (ABS)

Rating Uplift

Structured finance achieves up to +9 notch uplift over the corporate rating through credit enhancement, transforming sub-IG corporate debt into A-rated securities. This is the core advantage of ABS vs. secured lending (+2 notches) or unsecured bonds (0 notches).

Lowest Cost of Capital

Investment-grade tranches access deep pools of institutional capital (pension funds, insurance companies) at significantly lower spreads. Blended ABS cost ~SOFR+175bps vs. ~SOFR+300-375bps for unsecured bonds.

Proven Market

Aviation ABS has a well-established investor base. Typical structures use SPV (bankruptcy remote), servicer agreements, liquidity facilities, and payment waterfalls, all well-understood by institutional buyers.

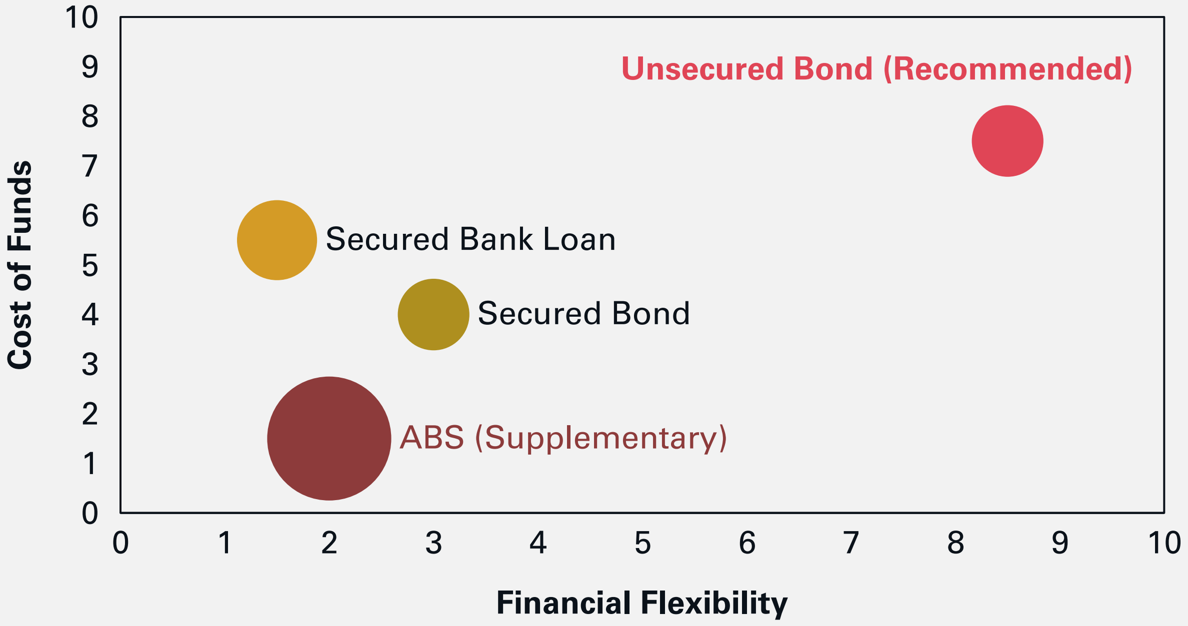
Scale Match

$1.2B unsecured + $400M ABS optimally balances cost (ABS) with flexibility (unsecured preserves unencumbered assets). The 384-aircraft portfolio provides massive overcollateralization capacity.

FUNDING OPTIONS (3/3)

Unsecured + Tactical ABS Balances Cost and Flexibility

Cost vs. Flexibility Trade-Off



Recommended Blended Approach

1

Primary: Unsecured ($1.2B)

Preserves financial flexibility and ~12.7x unencumbered asset coverage. Aligns with IG peers (Avolon 77%, Aircastle 98% unsecured) and supports the rating trajectory.

+

2

Supplementary: ABS ($0.4B)

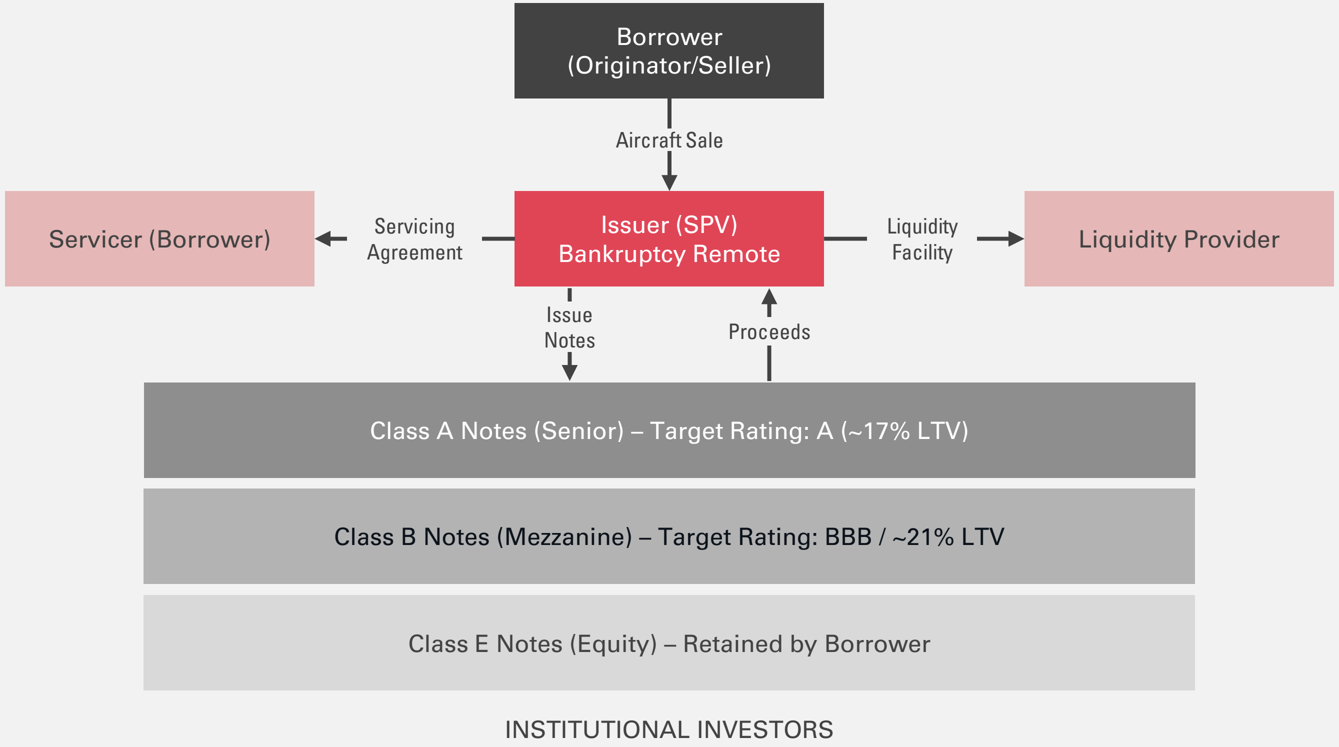
Add-on to capture pricing benefits. Designates ~35 aircraft (~$1.5B CMV, <10% of portfolio value) as collateral, leaving ~$13.7B unencumbered.

Axes: X = financial flexibility (0 = fully encumbered, 10 = no collateral required); Y = cost of funds (0 = cheapest, 10 = most expensive). Bubble size = suitability for this $1.6B raise. A $1.2B senior unsecured bond preserves balance sheet flexibility and aligns with IG peers (Avolon, Aircastle), while a tactical $0.4B ABS add-on captures pricing benefits via structural uplift. Designating ~$1.5B to the ABS pool leaves ~$13.7B unencumbered with Class A LTV well below 30%.

COMMERCIAL IN CONFIDENCE

RECOMMENDED STRUCTURE (1/5)

Proposed ABS Transaction Structure



Structure: Aircraft are sold to a bankruptcy-remote SPV, legally isolating noteholders from borrower insolvency risk. The borrower retains the servicing role (lease management, collections, remarketing). A liquidity facility covers ~9 months of senior interest during disruptions. Notes are issued in three tranches: Class A (senior, lowest risk/cost), Class B (mezzanine), and Class E (equity, retained by borrower as first-loss piece). Lease rental cash flows pass through the SPV waterfall, prioritizing senior noteholders.

RECOMMENDED STRUCTURE (2/5)

Indicative Tranching & Pricing

Unsecured Senior Notes

Unsecured Senior Notes: $1.2B → 5-year tenor → Indicative coupon ~5.25-5.75% (Assume BBB-/BBB; T + 170-210bps) → Preserves unencumbered asset flexibility

ABS

Tranche	Size ($M)	% of Deal	Tenor	Target Rating	LTV	Indicative Spread
Class A (Senior)	$260	65%	6-year	AA	17.3%	SOFR + 120-140 bps
Class B (Mezzanine)	$60	15%	8-year	BBB+	21.0%	SOFR + 170-190 bps
Class E (Equity)	$80	20%	—	NR	26.7%	Residual cash flow
Total ABS	**$400**	**100%**	—	—	—	**Blended: ~SOFR + 156 bps**
Total SN + ABS	**$1,600**	**100%**				**Blended: ~SOFR + 195 bps**

LTV based on designated ABS pool of ~33 aircraft ($1.5B CMV). On full portfolio basis ($15.2B CMV), overall LTV is ~2.6%.

Note on LTV: LTV figures are calculated against a designated ABS pool of ~33 aircraft with a combined CMV of ~$1.5B (source: CMV/MLR Constant Age Tables, 1-Mar-26). These conservative LTVs reflect the borrower's deliberate overcollateralization strategy. On a full-portfolio basis ($15.2B CMV), overall LTV is just ~2.6% — providing significant downside protection for noteholders.

RECOMMENDED STRUCTURE (3/5)

Key Structural Features

AMORTIZATION

Scheduled amortization targeting full principal repayment over 7-10 year weighted avg. life. Rapid amortization triggers if LTV breaches threshold.

CROSS-COLLATERALIZATION

All aircraft cross-collateralized across all tranches. Reduces single-asset risk. Supported by Cape Town Convention — enabling fast repossession across 72+ signatory states.

CROSS-DEFAULT

Default on any lease or breach of covenants triggers remedies across the entire structure. IDERA registrations ensure deregistration rights in lessee jurisdictions

COVENANTS

Minimum DSCR (1.2x), maximum LTV (80%), concentration limits (lessee, geography, aircraft type), and maintenance reserve requirements. Based on independent appraiser CMV monitoring.

BANKRUPTCY REMOTENESS

Assets held in an SPV that is legally separate from the borrower. Noteholders are insulated from borrower insolvency risk. NY/UK governing law ensures creditor-friendly enforcement.

MAINTENANCE RESERVES

Lessee maintenance deposits held in reserve accounts to cover scheduled heavy maintenance events on the aircraft.

RECOMMENDED STRUCTURE (4/5)

Credit Enhancement Mechanisms

1 Overcollateralization

Initial LTV ~62-75% provides value cushion against asset depreciation

2 Subordination

Junior tranches absorb losses first, protecting senior noteholders

3 Liquidity Facility

Covers ~9 months of senior interest payments during disruptions

4 Diversification

Geographic, lessee & aircraft type diversity reduces concentration

5 Servicer Quality

Borrower's proven platform for lease management & remarketing

Rating Agency Perspective: These five layers of credit enhancement, combined with the borrower's strong track record and institutional-quality portfolio, support our target ratings of A (senior) and BBB (mezzanine). The structure is designed for engagement with S&P, Moody's, and/or Fitch.

RECOMMENDED STRUCTURE (5/5)

Cash Flow Waterfall

Normal Operations

1. Trustee fees & expenses
2. Servicer fees
3. Class A interest
4. Class A scheduled principal
5. Class B interest
6. Class B scheduled principal
7. Liquidity facility replenishment
8. Class E residual (to Borrower)

Rapid Amortization Event

Triggered when:

- LTV exceeds 80% threshold
- DSCR falls below 1.2x
- Servicer default / termination event

Effect

- All available cash redirected to senior principal repayment
- Class B interest and principal deferred until Class A fully repaid
- Equity distributions suspended entirely
- Asset sales may be initiated to restore LTV compliance

Triggers and protections ensure that senior noteholders are prioritized in every scenario — a key driver of the A-rating target.

SUSTAINABILITY

Green Lending & ESG Considerations

Green Fleet Profile

85 NEO/MAX aircraft (~22% of pool) are among the lowest-emission aircraft in commercial service

15-20% fuel burn reduction vs. prior generation

CO_2 emissions data available via Eurocontrol Small Emitters Tool

Proposed ESG Framework

Sustainability-Linked Pricing

margin step-down if fleet CO_2 intensity KPIs are met (per KPI-linked bond framework)

Green Tranche

portion designated for NEO/MAX deliveries, aligned with EU Taxonomy (April 2020) classification for sustainable investments

Transition Bond Element

financing next-gen aircraft that achieve measurable energy/emission savings vs. prior generation

Precedents

Avation 2019 green loan, BA sustainability-linked EETC (2021), Korean Air green bond (2021)

Sustainable Aviation Financing Market

59
sustainable finance transactions (2018-2024)

$14.7B
airline sustainable financing volume

$2.1B
lessor sustainable financing volume

growing investor demand for ESG-linked aviation assets

FINANCIALS

Sources & Uses of Funds

Sources

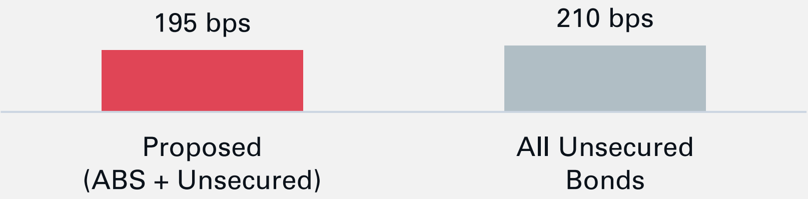
Instrument	Amount ($M)
ABS Class A Notes	$260
ABS Class B Notes	$60
ABS Class E (Retained)[1]	$80
Unsecured Senior Notes	$1,200
Total	**$1,600**

Uses

Purpose	Amount ($M)
New aircraft deliveries	$1,520
Transaction costs & fees	$30
Liquidity reserve funding	$25
Maintenance reserves	$25
Total	**$1,600**

Notes: 1. ABS Class E ($80M) is retained on balance sheet as first-loss equity, not new external proceeds.

Indicative Blended Cost Comparison



Key Takeaway

~$2.4M annual savings (~15 bps)

The proposed blended structure achieves a materially lower all-in cost vs. all unsecured, while maintaining portfolio flexibility and diversifying funding sources.

RISK ANALYSIS

Key Risks and Mitigation

Risk	Impact	Mitigation
Residual Value Decline	High	Over-collateralization, young fleet with strong residual trajectories, independent appraiser monitoring
Airline Credit / Lease Default	Medium	Diversified lessee base (150 airlines), concentration limits, maintenance reserves, aircraft remarketing capability
Interest Rate Risk	Medium	SOFR-based floating rate notes, potential for interest rate hedging via swaps to match lease cash flows
Concentration Risk	Medium	Structural limits on single-lessee, single-country, and aircraft-type exposure within the ABS pool
Macro / Traffic Downturn	Medium	Lessor portfolio resilience through cycles; NEO/MAX aircraft retain demand even in downturns due to efficiency advantages
Servicer / Operational Risk	Low	Borrower's proven platform; back-up servicer provisions; trustee oversight and reporting requirements

Note

Comprehensive risk analysis and stress testing will be conducted during the due diligence and rating agency engagement phases.

CLOSING

Summary & Next Steps

Key Highlights

- $1.6B raised via ABS ($1.2B) + Unsecured ($400M) blended strategy
- Achieve corporate level BBB- ratings to unlock lower cost of capital
- Diversified collateral pool of 384 aircraft across 150 airlines / 62 countries
- Structural protections: SPV, waterfall, overcollateralization, covenants
- ESG-aligned with sustainability-linked pricing and green fleet emphasis
- Estimated ~$2.4M annual interest savings vs. all-unsecured alternative

PROPOSED TIMELINE

Week 1-2
Mandate & engagement letter

Week 3-6
Due diligence & portfolio analysis

Week 5-8
Rating agency engagement

Week 7-10
Documentation & legal structuring

Week 9-12
Investor marketing & roadshow

Week 12-14
Pricing & closing